DCF VALUATION MODEL - PROJECT MERIDIAN

Target: Meridian Industrials, Inc. | Unlevered free cash flow, mid-year convention

Contents

Assumptions Market data, CAPM WACC, operating drivers, terminal value and capital structure
OperatingModel Revenue to unlevered free cash flow, 5-year forecast (2027E-2031E)
DCFValuation Discounting, Gordon-growth and exit-multiple terminal value, enterprise to equity
Sensitivity Implied share price by WACC x terminal growth and WACC x exit multiple

Conventions: blue font = input (change these); black = formula; green = link from another tab. All formulas are live a

Units: USD millions unless per-share. Illustrative training model with fictitious data - not investment advice.

Prepared 3 Nov 2026 by aminsaifanoa-web

nd auditable.

ASSUMPTIONS & DRIVERS

Blue = input

MARKET / CAPITAL	
Valuation date	31 Dec 2026

WACC (CAPM)	
Risk-free ra	4.00%
Equity risk	5.00%
Levered be	1.00
WACC (CAPM)	9.00%
Mid-year cc	1

OPERATING DRIVERS (forecast years)			
Year	2027E	2028E	2029E
Revenue gr	8.0%	7.0%	6.0%
EBITDA ma	30.0%	30.0%	30.0%
D&A (% of	7.0%	7.0%	7.0%
CapEx (% c	8.0%	8.0%	8.0%
Net workin	12.0%	12.0%	12.0%

Tax rate	25.0%
LTM revenu	1,000.0

TERMINAL VALUE

Gordon grc	2.5%
Exit EV / EE	9.0x

CAPITAL STRUCTURE & SHARES

Total debt	800.0
Cash and e	100.0
Net debt	700.0
Diluted sha	50.0
Current sha	$45.00







20210E	20211E
5.0%	4.0%
30.0%	30.0%
7.0%	7.0%
8.0%	8.0%
12.0%	12.0%

[redacted]

[redacted]

OPERATING MODEL (USD mm)

USD mm	2027E	2028E	2029E
Revenue	1,080.0	1,155.6	1,224.9
EBITDA	324.0	346.7	367.5
EBITDA margin	30.0%	30.0%	30.0%
Depreciation & amortisation	75.6	80.9	85.7
EBIT	248.4	265.8	281.7
EBIT margin	23.0%	23.0%	23.0%
NOPAT (EBIT x (1 - tax))	186.3	199.3	211.3
Add: D&A	75.6	80.9	85.7
Less: capital expenditure	-86.4	-92.4	-98.0
Less: change in net working capital	-9.6	-9.1	-8.3
Unlevered free cash flow (uFCF)	165.9	178.7	190.7
uFCF margin	15.4%	15.5%	15.6%

20210E	20211E	Total
1,286.2	1,337.6	**6,084.3**
385.9	401.3	**1,825.3**
30.0%	30.0%	
90.0	93.6	
295.8	307.7	
23.0%	23.0%	
221.9	230.7	
90.0	93.6	
-102.9	-107.0	
-7.3	-6.2	
201.7	211.2	**948.2**
15.7%	15.8%	

DCF VALUATION

	2027E	2028E	2029E
Unlevered fre	165.9	178.7	190.7
Discount per	0.5	1.5	2.5
Discount fact	0.9578	0.8787	0.8062
PV of uFCF	158.9	157.0	153.8

Terminal value - Gordon

Terminal value - exit EV/E

Discount factor at exit (y

PV of TV - Gordon

PV of TV - exit multiple

Enterprise value - exit multiple (primary)

Enterprise value - Gordon growth

Less: net debt at valuatic

Equity value - exit multiple

Equity value - Gordon growth

Implied share price - exit

Implied share price - Gor

Upside vs current price -

Upside vs current price -

Implied terminal EV/EBIT

Check: sum of PV + PV(TV) equals enterprise value

20210E	20211E	Total	
201.7	211.2		
3.5	4.5		
0.7396	0.6785		
149.1	143.3	762.2	

growth

EBITDA

ear 5)

on

	3,330.3
	3,611.6
	0.7
	2,259.8
	2,450.6
	3,212.8
	3,021.9
	-700.0
	2,512.8
	2,321.9

multiple	$50.26
'don gro	$46.44
exit mu	+11.7%
Gordon	+3.2%
'DA from	8.3x

OK

SENSITIVITY - IMPLIED SHARE PRICE (USD)

Grid A - Gordon-growth terminal value (WACC rows x g columns)					
WACC \ g	**1.5%**	**2.0%**	**2.5%**	**3.0%**	**3.5%**
7.5%	$53.38	$58.34	$64.31	$71.59	$80.70
8.0%	$48.24	$52.38	$57.27	$63.13	$70.30
8.5%	$43.84	$47.33	$51.40	$56.21	$61.98
9.0%	$40.03	$43.01	$46.44	$50.44	$55.18
9.5%	$36.70	$39.26	$42.19	$45.56	$49.51
10.0%	$33.75	$35.98	$38.50	$41.38	$44.71

Grid B - Exit-multiple terminal value (WACC rows x exit EV/EBITDA columns)					
WACC \ exit	**7.0x**	**7.5x**	**8.0x**	**8.5x**	**9.0x**
7.5%	$42.35	$45.24	$48.14	$51.04	$53.94
8.0%	$41.33	$44.17	$47.00	$49.84	$52.68
8.5%	$40.33	$43.11	$45.89	$48.67	$51.45
9.0%	$39.36	$42.09	$44.81	$47.53	$50.26
9.5%	$38.42	$41.09	$43.75	$46.42	$49.09
10.0%	$37.49	$40.11	$42.72	$45.33	$47.95

All cells are live formulas recomputing the full DCF at each WACC / terminal assumption.

9.5x	10.0x
$56.84	$59.74
$55.52	$58.36
$54.23	$57.01
$52.98	$55.70
$51.75	$54.42
$50.56	$53.17